

Generative AI's Act Two: From Technology Hamm

For venture investors and startup founders

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Six Decades of Technological Progress Converged to Enable Generative AI

Six decades of Moore's Law

Compute horsepower to process exaflops of data

Four decades of the internet

Trillions of tokens of training data (accelerated by COVID)

Two decades of mobile + cloud

A supercomputer in every human's palm

>\$1B

Startup revenue
in months, not years

ChatGPT: fastest-growing application in history

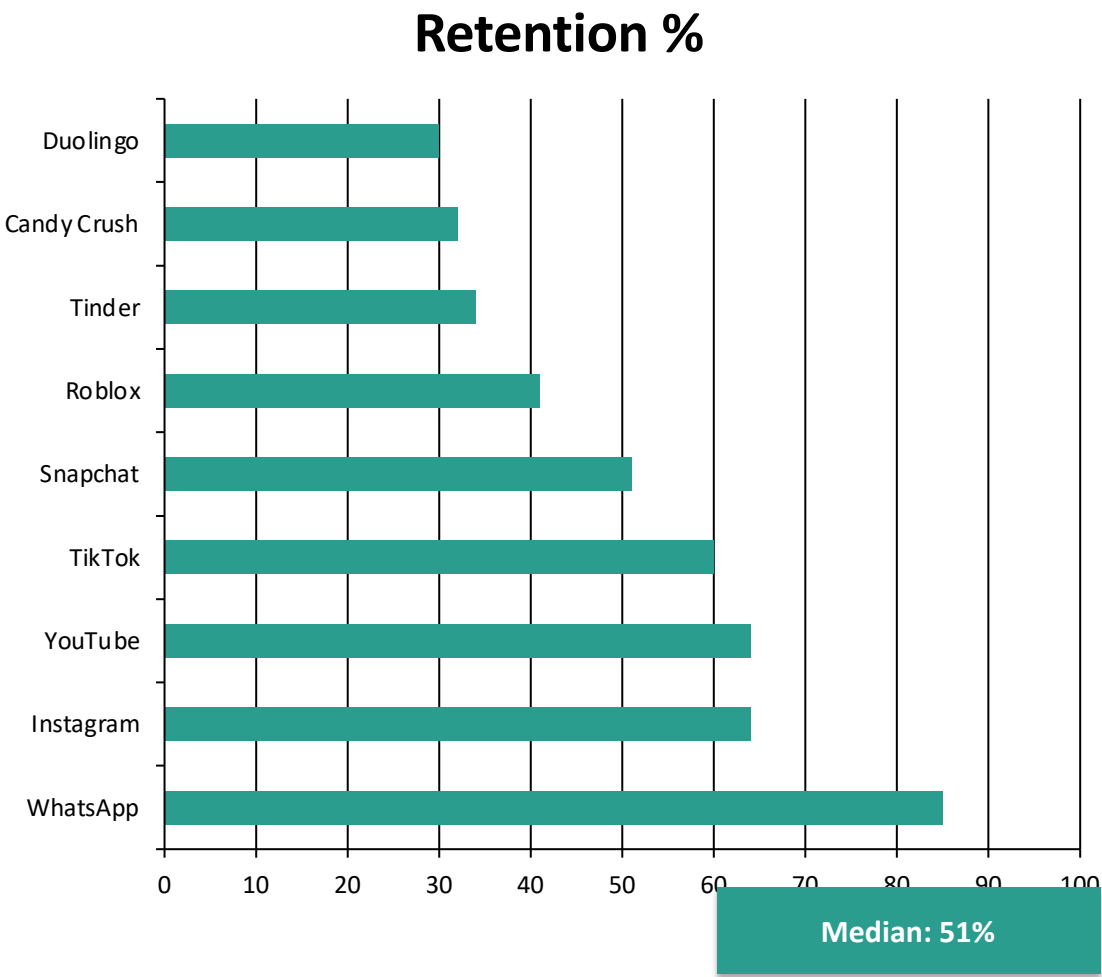
Midjourney: hundreds of millions in revenue with 11 employees

Character.ai: average 2 hours per in-app session

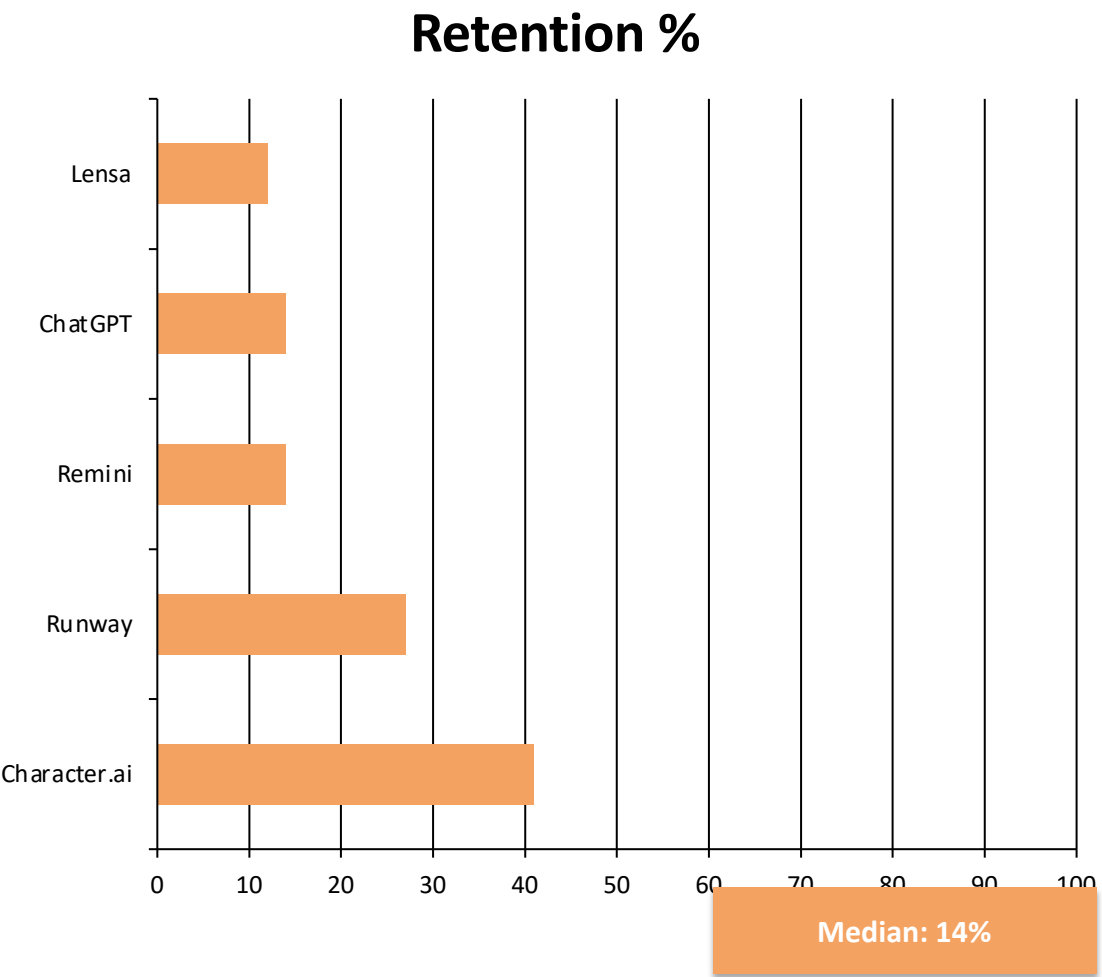
Commercial signal is clear, despite broad skepticism

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

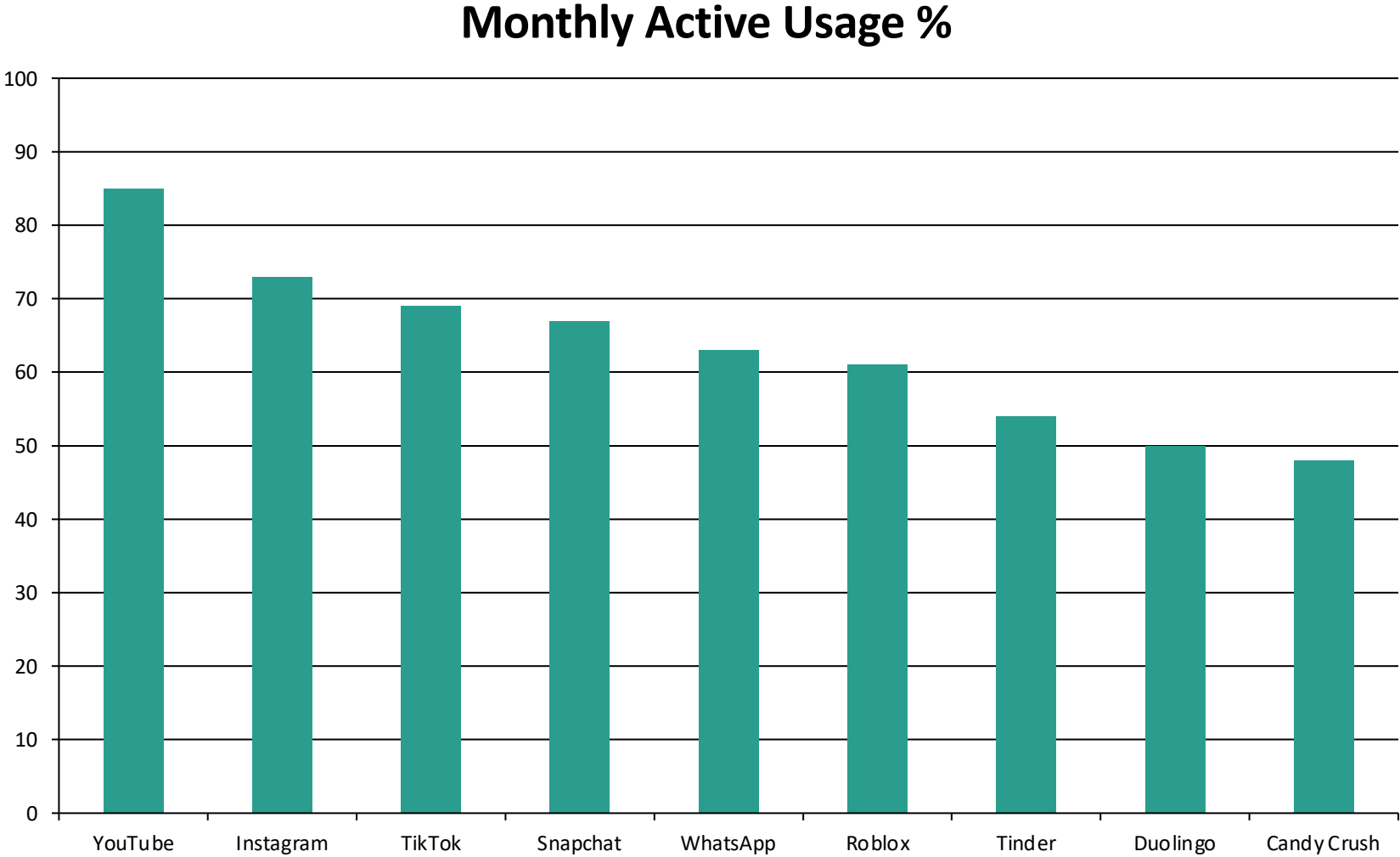
Incumbents



AI-First



YouTube Leads Incumbents at 85% Monthly Active Usage



Incumbent
Median
63%

Act 1: Technology-Out

- Foundation models were the entire solution
- Novelty demos and lightweight wrappers dominated
- Technology-first pitches outpaced customer value
- Weak stickiness and poor retention outcomes

Act 2: Customer-Back

- Foundation models are one component of a full product
- New editing interfaces improve workflow quality
- Products are increasingly multi-modal
- End-to-end problem solving drives value and retention
- Exemplars: Harvey, Glean, Character, Ava

Old framing (Act 1)

- Organized by modality
- Text / Image / Code silos
- Model-centric categorization



New framing (Act 2)

- Organized by use case
- Multi-modal by default
- Value measured by end-to-end outcomes
- Examples: Harvey (legal), Glean (enterprise), Character & Ava (compa

- 1. Retention is the central challenge: AI-first median retention is 14% vs. 51% for incumbents.**
2. Foundation models should be a component, not the entire product.
3. Multi-modal, workflow-integrated solutions are better positioned to win.
4. >\$1B startup revenue in months confirms real demand despite hype cycles.
5. Act 2 winners solve complete human problems end-to-end.